

into effect on 1st August 2021, mandates the importers to submit advance information in an online system for import of items and obtain an automatic registration number by paying registration fee of one rupee per thousand, subject to minimum of 100 rupees and maximum of 500 rupees on CIF value.

It also states that importers can apply for registration not earlier than 60th day before the expected date of arrival of import consignment and can apply till the date of arrival of the import consignment. The automatically generated registration number shall remain valid for a period of 75 days. Importers shall have to enter this registration number and expiry date of the registration in the bill of entry to enable customs clearance of the consignment.

More paperwork

There used to be a time when India, as a country, was ranked 142 in terms of ease of doing business. It was the first time in 2019 that the country's rank was raised to 69 among 180 countries. In 2020, the World Bank gave India 63rd rank out of 190 countries for the same. Now, while the country has been raising its standards, the new amendments in terms of chip imports might add red-tapism to the overall process. This, when clubbed with the fact that there have been more laws announced around the import of other electronics goods like telecom equipment, might make the 'ease of doing business in India' a little more difficult once again.

"The lead time of chips ranges from eight to twelve weeks. I think the new amendments will lead to unnecessary paperwork. May be the government wants to collect some data, but it is unnecessary work for us. We might have to depute an additional professional to do all the entries on the system. It will increase our burden," says Sunil Hasija, MD, Elektronika Sales.

He adds, "We also have to find out what kind of system will the government be using in terms of customs clearances once these new amendments come into effect. If I submit a bill of entry, sometimes it goes to an officer in Delhi and sometimes to another city. You can't go out to

The questions on the new rules

1. No clarification on what happens if a consignment needs to be sent back
2. The CHIMS portal will provide a databank to select the chip which has been imported. This should be comprehensive and updated regularly for new versions and technologies
3. Must avoid delays and red-tapism with no requirement for personal interface in the overall process.
4. Companies might need to depute an extra person just to punch in details about consignments, which often have a large number of items.
5. Any delayed response from CHIMS portal may lead to further delay in filing Bill of Entry & clearing of consignments, this should not lead to Demurrage & detention charges.
6. Requirement for pre-registration before arrival of consignment is a serious challenge. Any changes in the items or quantities or even part numbers can delay the process and prove to be costly to the importer.
7. Registration should be post facto... after arrival of the goods and filing of B/E.
8. Might hinder the growth of other PLI schemes around various verticals of electronics manufacturing.

meet and run after officers for getting approvals again and again."

The new amendments have come at a time when the government of India has also introduced various production linked incentive (PLI) schemes for promoting local manufacture of electronics in the country. There were reports by the media that the government was gearing up to offer \$1 billion as incentives to chip companies that are ready to set up fabrication plants here. As a matter of fact, a close look at most of the PLI schemes reveals the importance of these chips for such schemes to be successful. Be it a smartphone or a machine used to design and fabricate PCBs, chips are integral to all of them.

The total outlay for PLI around smartphones alone is 409.51 billion rupees. While the scheme is meant to increase India's efficiency in the manufacture of these, there is nothing about the manufacture of chips mentioned in the scheme. The delays in importing of chips can severely impact all the PLI schemes and the companies that received the nod to participate in these schemes.

An industry body (name not revealed on purpose) in an email addressed to the Ministry of Electronics & Information Technology (MeitY) has also tried to mention these problems to the government of India. The email, which the team at EFY managed to have a look at, has requested the government to make it mandatory to pre-register on CHIMS prior to arrival of the consignment. This require-

ment, as per the association, in effect becomes a prior permission to import, which must be avoided. Invariably, there are delays due to several reasons and this will have cost implications for manufacturers.

The association has also recommended that updating information on CHIMS should be a post-facto requirement—after the filing of bill of entry and arrival of the consignment. This may be allowed within one week (five working days) of import, as the same will ensure accurate information and prevent delays in arrival of consignments for manufacturers. To ensure compliance, it may be mandated that import of the next consignment will not be allowed unless details are filed within the stipulated time and penalty imposed in case of delay in filing.

Not to be discussed but not to be left alone as well, the Internet servers that the government of India relies upon are questionable too. The ease of booking a railway ticket through the government of India's railway portal is well known. Even a small problem in the speed of the server on the delivery day of a consignment full of chips can be a nightmare for the importer.

A lot of professionals associated with the industry, who did not agree to reveal their names, are of the view that the new system will bring the concept of red-tapism when importing chips. The process that the industry had once lauded the current government for might now become something to scrutinise and speak against for a lot of national and international companies.